



Vancouver School of Economics Undergraduate Society

VSEUS Weekly Economics Gazette Newsletter

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Hello Econ Students!

Welcome to this week's edition of the **VSEUS Economics Gazette**. This weekly newsletter is designed for educational purposes, offering reflections and commentary on recent articles to help students understand how today's headlines connect to economics and finance in practice. We aim to foster critical thinking and awareness of the forces shaping our world.

Send us feedback to finance@vseus.ca!

Market Overview:

The S&P 500 fell 0.72% following last week's surge, reflecting investor caution. Valuations remain elevated, with the index trading at a price-to-earnings (P/E) ratio of 27.91, which is well above historical averages. Despite the pullback, the S&P 500 is still up 13% year to date, outperforming its long-term annual average return of 10.5%.



Article 1: Canada Hopes Trump's \$100,000 Visa Fee Redirects Talent North

Author, Source & Date Published: Curtis Heinzl, Bloomberg, September 23, 2025

Link: [Bloomberg Article](#) & [University of Calgary](#)

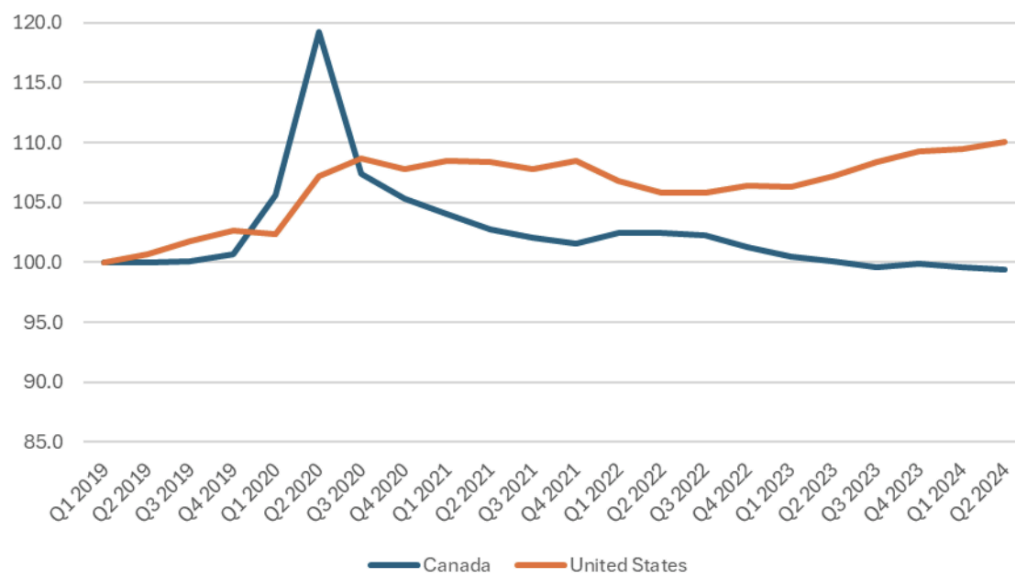
Summary:

Trump's change in the H-1B visas¹ program. Trump seeks to prioritize national talent, which could affect numerous technology giants but benefit Canada.

Key Takeaways:

- Trump signed an executive order increasing the cost of expedited H-1B visas from \$1,000 to \$100,000. This move will heavily impact tech giants like Amazon, Google, and IBM, however, the broader U.S. economy may suffer too. Expedited visas help firms access top global talent quickly, boosting productivity. In economics, options typically lead to better outcomes.

Comparative Productivity Performance of Canada and the United States



Source: Philip Bazel & Jack Mintz, Canada's Productivity Growth Problem: Government Investment to the Rescue? (University of Calgary, The School of Public Policy, October 2024).

¹ H-1B Visa: Is a non-immigrant visa that allows U.S. companies to temporarily employ specialized foreign workers with at least a bachelor degree in specific sectors like tech, engineering, medicine, etc.



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- Companies like Amazon, Microsoft, and Alphabet already have substantial operations in Vancouver and Toronto. These companies might decide to expand operations in these Canadian cities to avoid paying the \$100,000 USD fee. Some firms may attempt to avoid the \$100,000 fee by hiring foreign workers (from India or China) in their Canadian offices, while using the TN visa program to legally hire Canadian or Mexican nationals for roles based in the U.S.
- The TN visa program is a powerful tool that has attracted Canadian talent for years, often to the detriment of Canada's own innovation and economy. Basically, it allows American employers to hire Canadian/Mexican nationals without a cap and without relying on the lottery system, at a very low cost! This is the perfect policy to extract talent and bring it to the U.S. via the USMCA agreement.
- Canada needs to provide attractive policies to attract talent under this opportunistic scenario to counterbalance the exit of Canadian talent, while considering housing availability. Balancing this opportunity against its inherent risks will require a carefully calibrated policy response.

Educational Angle:

One of the main forces that we study in economics is incentives². Canada needs to provide the right migration policy to capture human capital that allows it to boost its declining productivity.

Let's not forget:

$$A = f(H, T, I, N)$$

- **A**= Productivity
- **H**= Human Capital
- **T**= Technology Innovation
- **I**= Institutions
- **N**= Social Norms.

Canada suffers against the U.S. in terms of institutions, as they have the best capital market in the world, which fuels technological innovations. They complement this by brain-draining Canadian talent, as they are able to offer better compensation.

² Incentives: Rewards or penalties that influence the behavior of individuals, businesses, or governments by altering the costs and benefits with respect to a specific action.



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Article 2: CIBC Prepares C\$400 Million AT1 Debt Sale in Canada

Author, Source & Date Published: Chunzi Xu, Bloomberg, September 24, 2025.

Link: [Bloomberg Article](#)

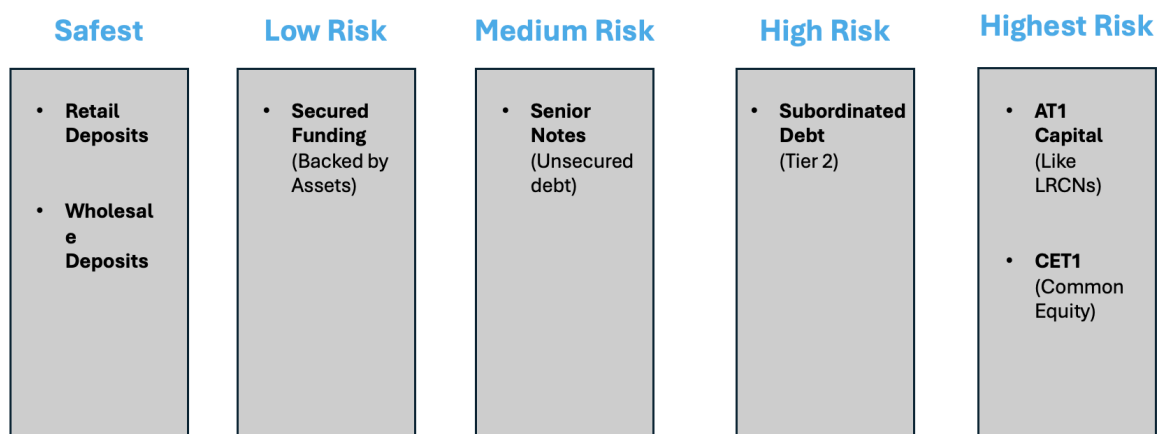
Summary:

CIBC will sell C\$400 million in AT1 debt to investors with an expected 6.85 yield.

Key Takeaways:

- CIBC and other major Canadian banks have issued **LRCN (Limited Recourse Capital Notes)**, which are debt instruments that is backed by preferred shares. This means that if the bank goes bankrupt, the investor only has priority to reclaim its money as a preferred shareholder. It cannot access the bank's balance sheets immediately to recover its funds, but it has to follow the corporate bankruptcy order.
- Canadian banks issue additional capital to support asset growth and maintain regulatory ratios as risk-weighted assets increase. Expanding lending activity also requires stronger buffers in case default rates rise.

How does Banks fund themselves Relative to Investors' Risk?



VSEUS, Economics Gazette, Internal Analysis.



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Educational Angle:

Students should note that the OSFI (Office of the Superintendent of Financial Institutions), which is the financial regulator in Canada, is in charge of verifying that Canadian banks hold cash reserves relative to its equity and AT1 issues.

$$\text{Tier 1 Capital ratio} = (CET1 + AT1) / (\text{Risk} - \text{Weighted Assets})$$

What does the Risk-Weighted Assets mean?

The Office of the Superintendent of Financial Institutions (OSFI) doesn't just look at how much capital a bank holds – it also considers how risky the bank's assets are. For example, suppose a bank holds \$2B in mortgage loans. Because mortgage loans are relatively safe, OSFI might assign a risk weight of 15%. After applying the 15% risk weight to \$2 billion in mortgages, the bank's risk-weighted asset base is \$300 million and it already had 21 M worth in common equity.

$$\text{Tier 1 Capital ratio} = (21M + 4.5) / (300 M)$$

If the bank was required to have a minimum of 7% in CET1 and a minimum of 1.5% in AT1, hence on average banks need to have an overall minimum Tier 1 Capital Ratio of 8.5% considering buffers. This means that the bank needs to issue at least 45 M ($300 \times 1.5\% = 4.5$) in AT1.

- CET1 **passed** the 7% benchmark.
- AT1 **passed** the 1.5% benchmark too.
- The overall Tier 1 Capital ratio **complied** with the OSFI regulation.

This is important because for every unit of risk a bank takes, the bank must hold a minimum amount of capital in the form of equity or special loss-absorbing bonds that can absorb losses in a crisis.